

THE SURGE OF GREEN, SOCIAL, SUSTAINABILITY AND SUSTAINABILITY-LINKED (GSSS) BONDS IN LATIN AMERICA AND THE CARIBBEAN

FACTS AND POLICY IMPLICATIONS

OECD DEVELOPMENT
POLICY PAPERS

November 2024 **No. 56**



OECD Development Policy Papers
November 2024 – No. 56

The surge of green, social, sustainability and sustainability-linked (GSSS) bonds in Latin America and the Caribbean

Facts and policy implications

This work is published under the responsibility of the Secretary-General of the OECD. The opinions expressed and the arguments employed herein do not necessarily reflect the official views of the Member countries of the OECD or its Development Centre.

This document, as well as any data and map included herein, are without prejudice to the status of or sovereignty over any territory, to the delimitation of international frontiers and boundaries and to the name of any territory, city or area.

This document was authorised for publication by Ragnheiður Elín Árnadóttir, Director of the OECD Development Centre.

Keywords: Financing for Development; Green Finance; Latin America and the Caribbean; Emerging Markets; Green, Social, Sustainable and Sustainably-linked (GSSS) Bonds

JEL classification: F3, O16, Q01

© OECD 2024



Attribution 4.0 International (CC BY 4.0)

This work is made available under the Creative Commons Attribution 4.0 International licence. By using this work, you accept to be bound by the terms of this licence (<https://creativecommons.org/licenses/by/4.0/>).

Attribution – you must cite the work.

Translations – you must cite the original work, identify changes to the original and add the following text: *In the event of any discrepancy between the original work and the translation, only the text of original work should be considered valid.*

Adaptations – you must cite the original work and add the following text: *This is an adaptation of an original work by the OECD. The opinions expressed and arguments employed in this adaptation should not be reported as representing the official views of the OECD or of its Member countries.*

Third-party material – the licence does not apply to third-party material in the work. If using such material, you are responsible for obtaining permission from the third party and for any claims of infringement.

You must not use the OECD logo, visual identity or cover image without express permission or suggest the OECD endorses your use of the work.

Any dispute arising under this licence shall be settled by arbitration in accordance with the Permanent Court of Arbitration (PCA) Arbitration Rules 2012. The seat of arbitration shall be Paris (France). The number of arbitrators shall be one.

Abstract

The Latin American and Caribbean (LAC) region has significantly increased its issuance of green, social, sustainability, and sustainability-linked (GSSS) bonds, growing from 9.3% of total bond issuance in 2020 to almost 35% in 2023. The share of GSSS in sovereign bonds also rose markedly from 36% in 2022 to 50% in 2023. LAC countries are at the forefront globally in Sustainability-Linked Bond (SLB) issuance, leveraging innovative structures to attract a wider pool of investors. However, effective supervision and regulation of GSSS issuances remain a critical challenge: enhanced oversight is needed through sustainable finance frameworks. While the market in LAC has evolved from self-labelling to adopting external reviews, further improvements in pre- and post-issuance evaluations are necessary to ensure meaningful impacts on sustainable and inclusive development. Additionally, harmonising and interoperating national sustainable taxonomies across LAC countries is key to boosting regional and international investor interest.

Acknowledgements

This policy paper was produced by Sebastián Nieto Parra, Head of the Latin America and Caribbean - LAC Unit at the OECD Development Centre, and Laura Gutiérrez Cadena, Policy Analyst. René Orozco, Economist, greatly contributed to the production of this paper.

A group of experts and colleagues have been especially active and supportive during the production process, providing views, inputs and comments. We would like to highlight the support of Priscilla Boiardi (OECD), Federico Bonaglia (OECD), Juan Flores (University of Geneva), Håvard Halland (former OECD), Paul Horrocks (OECD), Georgina Nuñez (UN ECLAC), Emma Raiteri (OECD), Jan Rielaender (OECD), and Helvia Velloso (UN ECLAC). Finally, many thanks go to the Publications and Communications Division of the OECD Development Centre, notably to Elizabeth Nash, Delphine Grandrieux and Henri-Bernard Solignac-Lecomte for their work on the production of this paper.

The content was enriched by constructive feedback received during the 54th Meeting of the General Assembly of the Latin American Association of Development Financing Institutions (ALIDE) in Fortaleza-Brazil which took place in May 2024, and the International Workshop on Experience Exchange by the OECD Development Centre, co-organised with the governments of Panama and Paraguay: “Financing the Sustainable Future: The Role of Green, Social, Sustainable, and Sustainability-Linked Bonds in Mobilising Public and Private Capital Towards a New Development Model,” which took place in October 2023.

Table of contents

Abstract	3
Acknowledgements	4
Executive summary	6
Abbreviations and acronyms	7
1 Introduction	8
2 The rise of GSSS bonds as an attractive sustainable financing mechanism in LAC	10
3 The rapid growth of GSSS and SLBs in sovereign issuances	13
4 Enhanced regulation and oversight through sustainable finance frameworks are essential for ensuring the effectiveness of GSSS bonds	16
Notes	26
References	27

FIGURES

Figure 1. Types of structures in the sustainability debt market	9
Figure 2. International GSSS bond issuance in LAC by type, as percentage of total and by sector, 2014-23	11
Figure 3. LAC international GSSS and conventional bond issuances as a percentage of LAC total bond issuance, and by sector, 2020-23	13
Figure 4. Overview of sustainable finance frameworks for GSSS bonds	17
Figure 5. Sustainable finance framework development in LAC, 2007-23	19
Figure 6. Sustainable finance framework development in the Caribbean, 2018-24	23

TABLES

Table 1. LAC SLB sovereign issuance in international markets, 2023	14
Table 2. Key features of sustainable finance frameworks in selected LAC countries	20
Table 3. Overview of taxonomy initiatives in selected LAC countries	21
Table 4. A step-by-step guide to building a dynamic and comprehensive green taxonomy based on Colombia's model	22
Table 5. External reviews for GSSS bond issuance	24

BOXES

Box 1. Municipalities make up a growing part of the global GSSS bond market	10
Box 2. What can policy makers do to support GSSS bond issuance in LAC?	24

Executive summary

Although green, social, sustainability and sustainability-linked (GSSS) bonds remain a niche market globally, they have experienced significant growth in the Latin America and Caribbean (LAC) region. The share of GSSS bonds in total bond issuance from LAC in international markets surged from 9.3% in 2020 to nearly 35% in 2023. Over the past decade, GSSS bonds in LAC have accumulated USD 131 billion, with green bonds nearly doubling from USD 18.8 billion in 2019 to USD 36 billion in 2023. Social, sustainability and sustainability-linked bonds (SLBs) have also grown substantially, reaching USD 95.1 billion by 2023. Sovereign GSSS bonds in international markets increased from 36% of total sovereign issuance in 2022 to 50% in 2023, while conventional sovereign bonds dropped from 64% to 50%. Among GSSS bonds, SLBs dominated, representing 36% of GSSS bond issuance in 2023. Chile and Uruguay are the leading issuers of sovereign SLBs, as they are currently the only two countries globally to have issued such bonds.

The international GSSS bond market in LAC has diversified its purpose from traditional sectors like energy and food to include automotive, technology and real estate. Gender bonds and digital transformation initiatives are also emerging trends in LAC.

LAC countries are making notable progress in the development of sustainable finance frameworks. By December 2023, 14 countries had initiated nearly 221 actions, led by Brazil, Colombia and Mexico. This includes actions by governments, private actors and multilateral organisations. Guidelines for GSSS bond issuance, green protocols and taxonomies, along with the creation of green committees have been initiated and developed.

However, if GSSS are to become a more significant and used source of financing, aligned with the SDGs and the Paris Agreement objectives, further development is needed to refine these frameworks, boost investor confidence, and foster cross-border harmonisation.

It is necessary to differentiate and strengthen the regulatory and supervisory mechanisms for SLBs compared to GSS bonds, as SLBs rely on self-established key performance indicators (KPIs) and sustainability performance targets (SPTs).

Collaboration between ministries and public investment offices is also essential to identify sustainable, bankable projects and ensure efficient use of resources. These projects should be supported by robust data and metrics for accurate assessment.

Additionally, GSSS bonds in LAC should operate under more robust regulatory frameworks to align financing with national development goals, integrating economic, social, governance (ESG) considerations, managing climate risks, and supporting sustainability financing.

Finally, it is crucial to continue enhancing sustainable finance frameworks to improve comparability, credibility and transparency at both national and regional levels, through improved co-ordination of multiple stakeholders across sectors at national, regional and international levels. International guidelines, such as the International Capital Markets Association (ICMA) principles and the EU Taxonomy, and the regional framework developed by the UN Working Group on Taxonomies of Sustainable Finance in LAC provide direction for GSSS bond issuance in the region, but clearer more binding standards, better external reviews, and greater data transparency are still required to effectively prevent green- and SDG-washing.

Abbreviations and acronyms

AFD	French Development Agency (Agence Française de Développement)
ASEAN	Association of Southeast Asian Nations
bps	Basis points
CBI	Climate Bonds Initiative
ECCB	Eastern Caribbean Central Bank
ESG	Economic, social, and governance
EU	European Union
GGGI	Global Green Growth Institute
GIZ	German International Cooperation Agency (Deutsche Gesellschaft für Internationale Zusammenarbeit)
ICMA	International Capital Markets Association
IDB	Inter-American Development Bank
GSS	Green, social and sustainability bonds
GSSS	Green, social, sustainability, and sustainability-linked bonds
KPIs	Key performance indicators
LAC	Latin America and the Caribbean
NDC	Nationally Determined Contribution
SBFN	Sustainable Banking Finance Network
SDG	Sustainable Development Goals
SLBs	Sustainability-linked bonds
SPTs	Sustainability Performance Targets
UN	United Nations
UNEP	United Nations Environment Programme
USD	United States Dollar

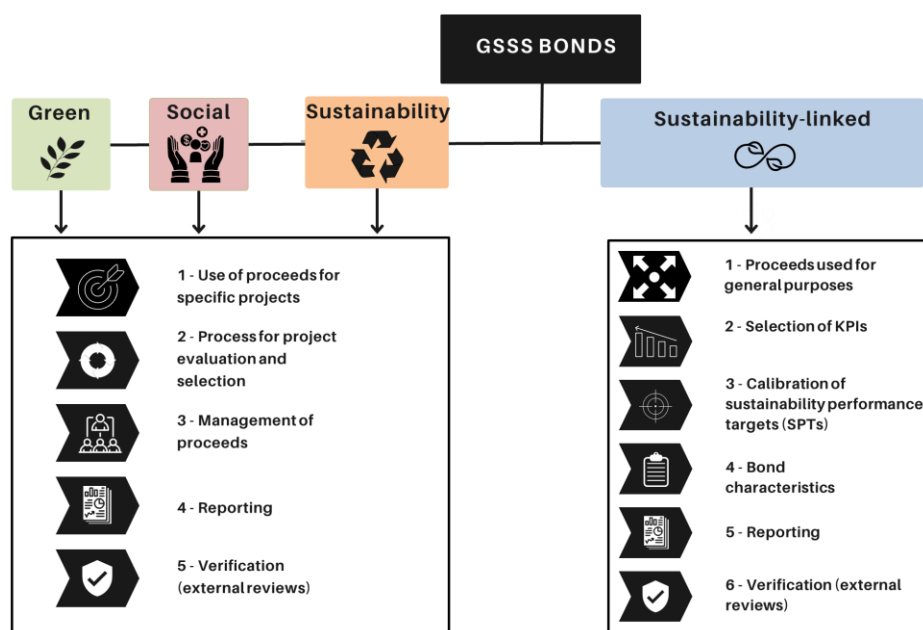
1 Introduction

ESG sustainable debt markets have grown and gained prominence globally due to both a combination of contextual elements (i.e. the pandemic, the growing impact of climate change and social justice movements) and favourable market conditions (i.e. low global interest rates until 2022 and increased investor interest) (ECLAC, 2022^[1]). There has been rapid growth in demand from investors and global institutions for ESG-linked investment opportunities. Green, social, sustainability, and sustainability-linked (GSSS) bonds have gained prominence as a key asset class within the wider universe of ESG assets. European funds' willingness to take a longer-term view of risk has been one of the drivers of the rise of impact investing through GSSS bonds (OECD et al., 2023^[2]). GSSS bonds are financial instruments designed to fund projects with positive environmental and social impacts or, in the case of SLBs, to achieve sustainability targets that are not directly tied to specific projects. These bonds attract both public and private investments towards projects that can drive economic growth, improve social equity, and promote environmental sustainability in emerging economies.

In the LAC region, GSSS bonds represent a unique opportunity to link the need for greater financing, including debt, to sustainability criteria. By allowing greater financing of initiatives such as renewable energy projects, social infrastructure, and sustainable agriculture, GSSS bonds can help LAC countries achieve their development goals in a more sustainable and inclusive manner. For sovereigns in LAC, raising funds through these types of assets has become an attractive option to increase the return on liquid global capital, diversify the investor base, mobilise direct capital into sustainable activities, and acquire financial support for creating sustainable capital markets. Bond proceeds can fund sustainable public expenditure and infrastructure, as well as sustainable policies and national commitments, such as the Nationally Determined Contributions (NDC) set under the Paris Agreement on climate change (OECD et al., 2023^[2]). For corporates in LAC, issuing GSSS bonds in international markets is attractive as it can offer lower interest rates and greater potential for capital gains. Bond proceeds can also benefit sectoral investments, such as the agricultural sector (agribusiness, food and beverages, forestry), the financial sector (commercial banks, financial services companies, finance development banks/multilateral agencies), and the energy sector (utilities, oil, gas, power)

There are two types of structures in the ESG sustainable debt market: use of proceeds and target-linked (Figure 1). According to the International Capital Market Association (ICMA), green, social and sustainability bonds belong to the first type of structure. These are fixed-income instruments whose proceeds are exclusively applied to finance or refinance, entirely or partially, environmental and social projects or a combination of both. Sustainability-linked (SLBs) differ from green, social and sustainability bonds in that they are target-linked and allow financing outside of specific projects or use of proceeds categories. SLBs are tracked through the assessment of KPIs and SPTs. For SLBs, the issuers choose the associated targets they want to achieve through the issuance of the bond, and the structural and/or financial characteristics of the bond will change depending on whether the pre-determined target is achieved or not.

Figure 1. Types of structures in the sustainability debt market



Source: Authors' elaboration based on ICMA Principles.

The surge in GSSS bond issuance in the LAC region brings forth several, interconnected challenges. They range from issues related to market maturity and capacity building to developing solid regulatory frameworks that promote transparency and reporting. This paper focuses on the latter aspects, underscoring the importance for countries in the region to enhance their sustainable finance frameworks. Regulatory frameworks are essential for monitoring and verifying the issuance of GSSS bonds. The design and implementation of robust reporting and impact measurement standards can be challenging but it is necessary to maintain investor confidence.

Countries in LAC are focusing their efforts on expanding and improving their sustainable finance frameworks. These frameworks include protocols, international co-operation initiatives, standards, guidelines and taxonomies that aim to reduce and manage the ESG risks of financial activities while encouraging the flow of capital to assets, projects, sectors, and companies with environmental, climate, and social benefits.

The paper is organised as follows. First, it provides an assessment of GSSS bond issuances in the LAC region, emphasising how the surge has been accompanied by a parallel increase in sovereign bonds and innovative structures for SLBs. Then it offers an overview of sustainable finance frameworks in selected LAC countries, assessing their common features and offering some policy recommendations to enhance accountability and transparency.

2 The rise of GSSS bonds as an attractive sustainable financing mechanism in LAC

The GSSS bond market represents a small fraction of the global bond market to date. It is still considered a niche sector, representing only 1% of total assets outstanding and around 2% of new issuances globally (OECD, 2022^[3]). In the LAC region, however, GSSS bonds are proving to be an attractive financing mechanism, increasing from 9.3% of total LAC bond issuance in international markets in 2020 to almost 35% in 2023. In LAC, raising funds through these instruments instead of traditional bonds has become an attractive option for increasing returns on liquid global capital, diversifying the investor base, mobilising direct capital into sustainable activities, and acquiring financial support for creating sustainable capital markets. Between 2014 and 2023, the GSSS international bond market in LAC reached a cumulative value of USD 131 billion (Figure 2, Panel A). Total green bond issuance in LAC nearly doubled over four years, from USD 18.8 billion in 2019 to USD 36 billion in 2023. The growth was even more pronounced for social, sustainability, and sustainability-linked bonds, reaching a cumulative issuance of USD 95.1 billion in 2023 since the inception of this market segment in 2016 (OECD et al., 2023^[2]). At the municipal level, GSSS bonds are also being issued to finance sustainable local investments across priority sectors and to address key SDG challenges (Box 1).

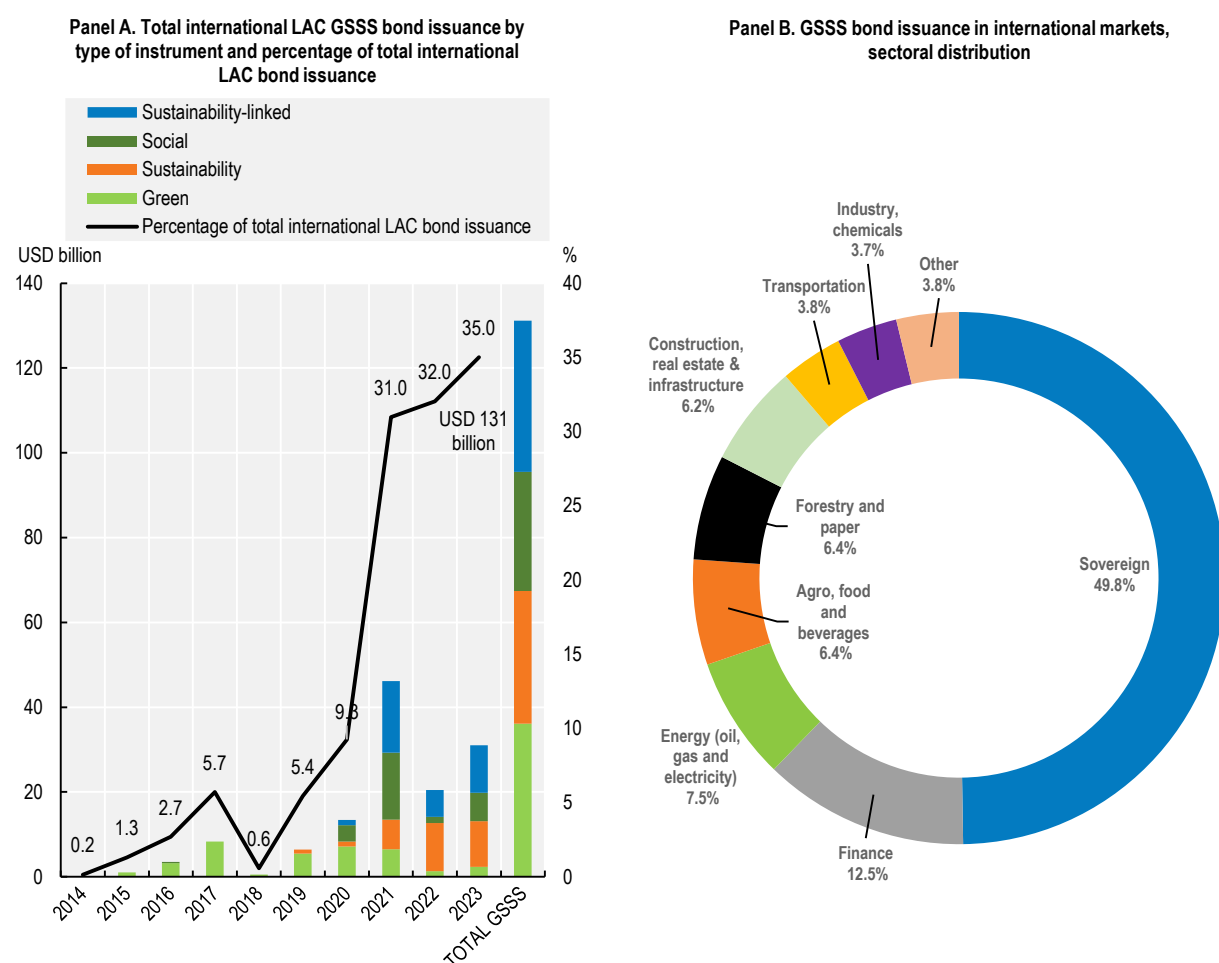
Box 1. Municipalities make up a growing part of the global GSSS bond market

Globally, municipalities are leveraging GSSS instruments as crucial tools to finance areas such as renewable energy, transportation systems, and water infrastructure. Massachusetts led with the first US state green bond in 2013, financing clean water and energy efficiency projects. Shortly after, Gothenburg, Sweden, followed with a green bond aimed at energy-efficient housing and climate adaptation. Key issuers since then include Washington, DC's water authority, which in 2014 launched the first US century green bond to support stormwater and pollution control, as well as the transportation authorities in New York, Seattle and London, funding sustainable transit initiatives. In 2016, Mexico City was a pioneer in green bonds in the LAC region with a USD 50 million oversubscribed bond aimed at financing climate-resilient infrastructure and transport. The bond funds were used to provide drinking water, wastewater treatment, energy-efficient public lighting, and public transportation infrastructure. The bond was issued in the local currency on the international market with a 5-year maturity. More recently, in January 2023, the Île-de-France Region issued a sustainable bond of EUR 600 million over an 8-year period under its green, social, and sustainable framework.

GSSS bonds have become attractive instruments for raising capital in a growing number of economic sectors in LAC. Between 2014 and 2023, the main sectors that issued GSSS bonds in international markets, after sovereign (49.8%), were finance (12.5%), energy (7.5%), agriculture, food, and beverages

(6.4%) and forestry and paper (6.4%) (Figure 2, Panel B). Diversification across sectors in the GSSS market in LAC has increased since 2019. Until 2018, the only sectors issuing GSSS bonds were pulp and paper, food and beverage, and energy. Since 2019, new sectors have accessed the international sustainable market, including auto and related activities, technology, chemicals, telecommunications, consumer products, real estate, transportation, and sugar and ethanol. This broader sectoral distribution indicates a growing interest among a wider range of issuers and investors in these debt securities, including niche sector investors. It also represents a significant stride for the region in advancing sustainability initiatives across the country's productive matrix (OECD et al., 2023^[2]; Núñez, Velloso and Silva, 2022^[4]).

Figure 2. International GSSS bond issuance in LAC by type, as percentage of total and by sector, 2014-23



Note: GSSS refers to Green, Social, Sustainability and Sustainability-linked bonds. Total sustainability bonds include blue bonds. Panel B: The category "Other" includes the following sectors: Telecommunications & IT; and retail & consumer products.
Source: (OECD et al., 2023^[2]; ECLAC, 2023^[5]; Núñez, Velloso and Silva, 2022^[4]).

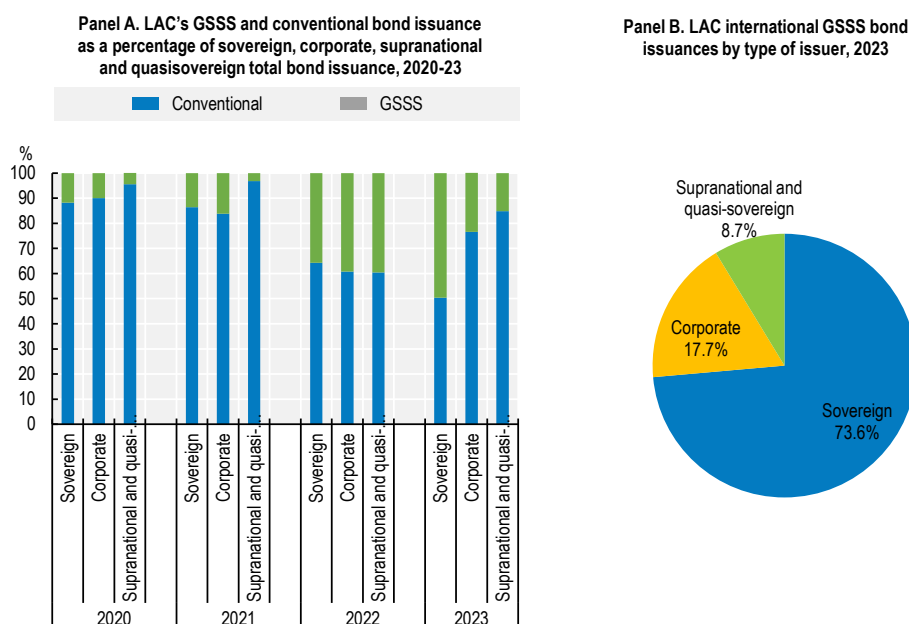
GSSS bonds are also linked to greater investments for gender equality and digital transformation in LAC. As of the end of 2023, LAC is a key emerging region in gender bond issuance, with 26 gender bonds amounting to USD 2.2 billion. Colombia, Chile and Mexico are the leading markets, with most issuances made by corporates (IDB Invest, 2024^[6]). In 2020, Colombia's bank Davivienda issued the first gender bond in the country, amounting to USD 98.2 million, aimed at financing small and medium-sized

enterprises led by women, as well as the acquisition of low-income housing for women. In 2022, Ecuador's Banco Pichincha issued two, supporting women-led businesses and micro, small and medium-sized enterprises. Regarding digital transformation efforts in LAC, notably, in 2022, Inter-American Development Bank (IDB) Invest issued a silver economy social bond to enhance seniors' financial inclusion, integrating digital solutions for poverty alleviation and inequality reduction (OECD et al., 2023^[2]).

3 The rapid growth of GSSS and SLBs in sovereign issuances

The share of GSSS bond issuance in LAC as a proportion of total bond issuance in international markets has been on the rise, reducing the market share of conventional bonds (Figure 3, Panel A). Specifically, the share of GSSS sovereign bonds in total sovereign bond issuance has significantly increased, from 36% in 2022 to 58% by 2023. Consequently, the proportion of conventional sovereign bonds issuance dropped from 88% in 2020 to just 50% in 2023. In the corporate sector, the peak share of GSSS bonds reached 39% of total corporate bond issuance in 2022. However, this share experienced a notable decline in 2023. Similarly, for supranational and quasi-sovereign issuers, the percentage of GSSS bonds in the total bond issuance saw a sharp decrease, from 40% in 2022 to 15% in 2023. In 2023, sovereign issuances accounted for the largest share of GSSS issuances at 74%, followed by corporate issuances at 18%, and supranational and quasi-sovereign issuances at 9% (Figure 3, Panel B).

Figure 3. LAC international GSSS and conventional bond issuances as a percentage of LAC total bond issuance, and by sector, 2020-23



Note: Quasi-sovereign issuers are defined as companies with full or partial government ownership or control. Supranational issuers are defined as entities formed by two or more central governments to promote economic development for the member countries.

Source: Authors' elaboration based on ECLAC, Capital flows to Latin America and the Caribbean 2020, 2021, 2022, 2023.

Innovative structures for SLBs are also emerging in parallel to the rapid growth of GSSS bond issuance. The characteristics of the SLBs differ considerably with respect to green, social and sustainability (GSS)

bonds. SLBs are innovative, forward-looking financial instruments distinguished by their dynamic structural and/or financial characteristics (OECD, 2024^[7]; OECD et al., 2023^[2]). These characteristics are contingent on the issuers meeting pre-determined KPIs and SPTs. In contrast to GSS bonds, SLBs can offer potential rewards, such as lower coupon rates for meeting sustainability goals, or penalties for falling short. SLBs offer financing solutions in areas such as biodiversity, climate change adaptation and social development – areas that GSS bonds often cannot target due to a lack of large, bankable asset pipelines (OECD, 2024^[7]). Unlike GSS bonds, which need specific assets, SLBs can be backed by an issuer's entire balance sheet, enabling higher values and longer maturities (OECD, 2024^[7]).

SLBs innovative structures in LAC are financing key development areas with multiple sustainable objectives. The share of SLBs in total GSSS bond issuance stood at 36% in 2023, with sovereigns leading the issuance. Despite high volatility in recent years, SLB issuance in developing countries grew significantly following the first issuance in 2019 (OECD, 2024^[7]). Yet issuances from developing countries, which have the greatest financing needs, account for a small share of the total SLB market – and appear to be decreasing. Between 2021 and 2022, the share of SLBs from issuers in ODA-eligible countries as a percentage of the total issued amount decreased from 13% to 5% (OECD, 2024^[7]).

Sovereign SLBs can be linked to existing sustainability commitments, enhancing their credibility and relevance. These instruments can serve as tools to assist the national government in fulfilling its obligations under its NDC and the Paris Agreement. They can facilitate the transition of industries traditionally viewed as “dirty”, which are often more challenging to finance through use-of-proceeds instruments like GSS. Chile and Uruguay became pioneers in 2022 as the world's first nations to issue sovereign SLBs; as of June 2024, in international markets, they remained the sole issuers globally (OECD et al., 2023^[2]). In March 2022, Chile issued a USD 2 billion sovereign SLB with a coupon step-up tied to two key performance indicators: reducing greenhouse gas emissions and boosting renewable energy production. With this issuance, Chile became the first country in the world to link its bond issuance to both gender equality and its NDC commitment on climate change (OECD, 2024^[7]). Since then, Chile has continued to lead in sovereign SLB issuances, with six issuances in 2023 totalling USD 8 billion (Table 1).

Table 1. LAC SLB sovereign issuance in international markets, 2023

Country	Bond type	Date of issuance	USD billion	Maturity	Coupon	Basis points (bps)
Chile	SLB	27-Jun-23	1.1	2054	5.33%	+ 5 bps by 2034 if 1 target is not met + 10 bps by 2034 if 2 targets are not met
Chile	SLB	27-Jun-23	1.1	2036	4.95%	+ 25 bps by 2034 if 1 target is not met + 50 bps by 2034 if 2 targets are not met
Chile	SLB	28-Jun-23	0.8	2034	4.13%	+ 50 bps by 2034 if 1 target is not met + 100 bps by 2034 if 2 targets are not met
Chile	SLB	20-Jul-23	2.1	2037	5.30%	N/A
Chile	SLB	18-Oct-23	0.9	2039	3.40%	+ 7.5 bps by 2039 if 1 target is not met + 15 bps by 2039 if 2 targets are not met
Chile	SLB	25-Oct-23	1.9	2034	5.80%	N/A
Uruguay	SLB	06-Nov-23	0.7	2033	5.75%	Increase by up to 30 bps by 2025 if Uruguay fails to meet the SPTs or remain unchanged in case of mixed compliance or narrowly meeting the SPTs. Decrease by up to 30 bps by 2025 if Uruguay surpasses the SPTs (or by 15 bps if it does so only once).

Source: Authors' elaboration based on (ECLAC, 2024^[8]).

Chile will tie the bond's financial terms to achieving SPTs, including potential coupon step-ups or premium payments if an SPT, including intermediate ones, is not achieved by the target date. If multiple SPTs aren't

met, the premium will accumulate accordingly (Public Debt Office of the Ministry of Finance of Chile, 2023^[9]). In 2022, Uruguay issued its first Climate Change-Indexed Bond. The issuance is financially innovative as it employed an increase/decrease approach, where the bond coupon decreases if the government exceeds the two indicators and increases if the government fails to achieve the targets. The country issued another SLB in 2023 totalling USD 700 million (OECD et al., 2023^[2]). In 2023, sovereign SLBs had an average value of USD 1.2 billion, higher than other thematic bonds. They also had a longer maturity average of 16 years and lower average coupons of 5.0%. SLB yields are linked to the achievement or non-fulfilment of KPIs/targets, with adjustments ranging from 5 basis points up to 100 basis points if multiple targets are not met.

To scale up SLBs in the region, international financial co-operation is crucial for overcoming barriers hindering market development, particularly the establishment of reliable monitoring and supervision mechanisms to prevent green-/SDG-washing. At present, SLBs are at high risk of such washing due to the lack of uniform sectoral principles and guidelines, immaterial or unambitious KPIs and SPTs, insufficient data quality and a shortage of skilled analysts to assess KPIs. International co-operation can expand the availability of data and indicators to track sustainability progress. Regulation and monitoring need improvement, and definitions should be harmonised regionally and internationally to enhance market transparency (see below on sustainable finance frameworks). Additionally, international capacity-building partnerships are essential to bridge regulatory and co-ordination gaps. Developing and utilising locally adapted SLB guidelines that prioritise sustainability will be crucial for developing local-currency bond markets, mitigating currency risk and enhancing financial resilience (OECD, 2024^[7]).

4 Enhanced regulation and oversight through sustainable finance frameworks are essential for ensuring the effectiveness of GSSS bonds

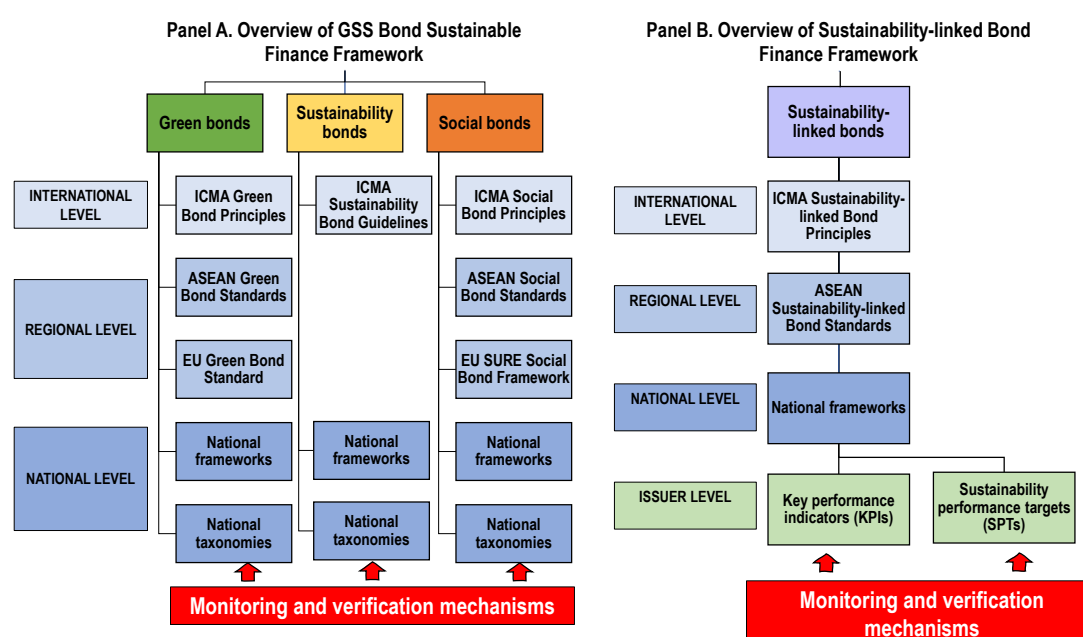
Sustainable finance frameworks are tailored roadmaps aligning funding with a country's development goals. These frameworks rely on various mechanisms such as taxonomies, standards guidelines, policies, international co-operation initiatives, and regulatory requirements, developed by the public or private sector, or both, to guide the issuance of GSSS bonds and other sustainable instruments at the international, regional and national levels. Frameworks often follow three key objectives: ESG integration in financial sector operations; climate risk management; and financing sustainability. Frameworks' diverse components make a unified definition challenging, requiring enhanced co-ordination. Greater efforts in the region are needed to foster more consolidated sustainable finance frameworks, ensuring comparability, certainty, credibility, integrity and transparency in the market.

Sustainable finance frameworks guide the issuance of GSSS bonds at international, regional and national levels (Figure 4). At the international level, the principles of the ICMA and the Helsinki Principles are often used as overarching guiding frameworks for the issuance of GSSS bonds by LAC countries, both regionally and nationally (OECD et al., 2023^[2]). ICMA's suite of instruments – Green Bond Principles, Social Bond Principles, Sustainability Bond Guidelines and Sustainability-Linked Bond Principles – have become increasingly important in international markets. Most countries and corporates around the world now use them as reference to develop their own frameworks for the issuance of GSSS bonds (OECD et al., 2023^[2]). At the regional level, the EU Sustainable Finance Framework, which includes the EU Green Bond Standard, and the Association of Southeast Asian Nations (ASEAN) green and social bond standards are also employed as guiding references for the issuance of GSSS and other sustainable finance mechanisms.

Sustainable finance frameworks for GSS bonds differ from that of SLBs. For use-of-proceeds or GSS bonds, standards and taxonomies have been developed to guide issuance, certification and verification (Figure 4, Panel A). For target-linked bonds or SLBs, standards have also been developed to guide issuance, certification and verification. In addition, the final step involves evaluating issuer level "self-imposed" KPIs and SPTs (Figure 4, Panel B). SLBs face significant challenges because their proceeds are fungible, not designated for specific uses, which make them less transparent and more susceptible to green-/social-/SDG-washing. This stems from several bottlenecks: the lack of locally adapted SLB guidelines and principles, insufficient materiality and ambition in KPIs and SPTs (which makes comparison difficult), and poor data quality or limited availability. Poor-quality data and varying measurement capabilities across countries limit issuers' ability to select relevant KPIs, undermining the

credibility of SLBs and hindering market scalability. Many countries in the region also struggle to produce data on SDG indicators, creating barriers to effective reporting and verification. This lack of reliable data affects the monitoring of social and environmental outcomes essential for demonstrating SLBs' effectiveness (OECD, 2024^[7]). Without robust data, the integrity of SLB performance reporting is compromised, making it challenging to assess their true impact. Despite a reported decline in controversies related to SLBs, persistent concerns continue to undermine market credibility and could weaken investor interest (OECD, 2024^[7]). Strengthening international co-operation can enhance data availability and sustainability metrics. Regulatory enhancements and standardised definitions on both regional and global levels are essential to improve market transparency for these type of debt securities.

Figure 4. Overview of sustainable finance frameworks for GSSS bonds



Source: Authors' elaboration.

While overarching principles and guidelines from international organisations like ICMA and regional actors provide valuable advice, it is essential for public and private issuers to establish clearer, more binding standards and taxonomies that precisely define what qualifies as sustainable, green, or social, with some form of compliance requirement or accountability. There is a need for guidelines adapted to local realities—which must crucially remain harmonised and interoperable among each other (OECD, 2024^[7]; OECD et al., 2022^[10]). In LAC countries, various sustainable finance frameworks have been developed at the national level, with most governments and financial institutions having undertaken several initiatives to advance them. These initiatives range from research and engagement activities to the publication of sustainable standard guidelines, protocols, and green/sustainable taxonomies.

With the expansion of GSSS bond issuance and other sustainable financial instruments in the LAC region, the development of these frameworks has also intensified. This growth has driven private and public issuers to establish more robust architectures that effectively guide the issuance of GSSS bonds and enhance investor confidence. By the end of 2023, 14 countries in LAC have launched initiatives, standards, guidelines, and/or taxonomies aimed at developing their sustainable finance frameworks, totalling

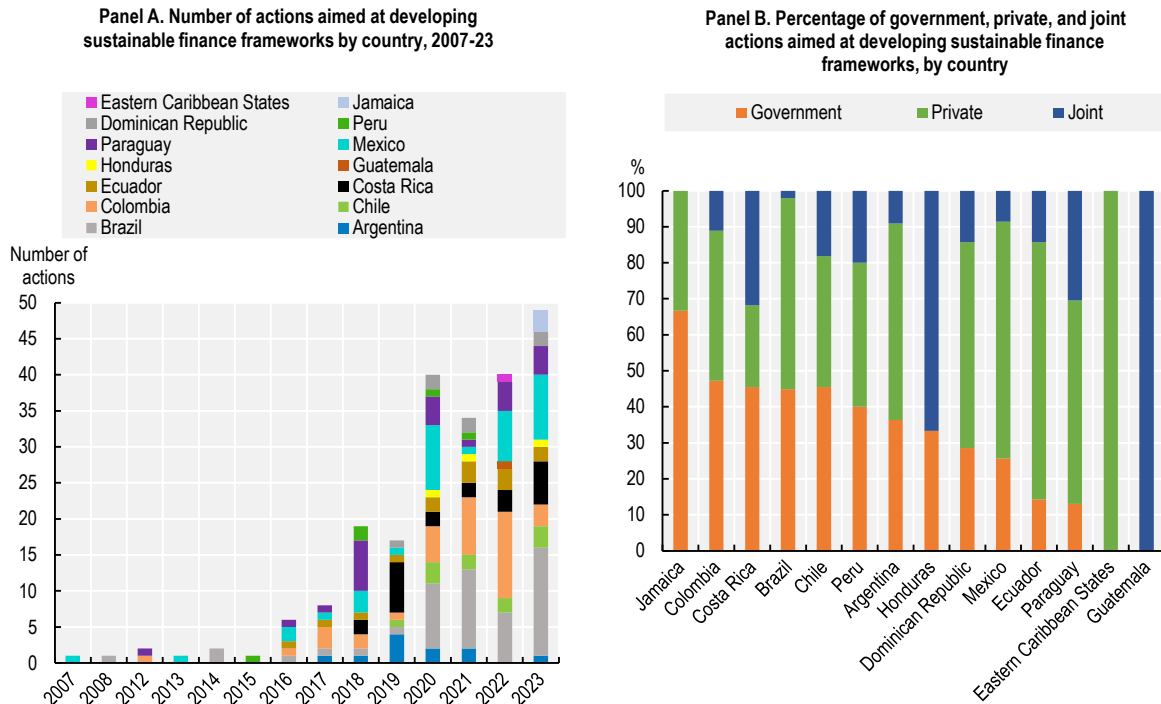
221 actions¹ (Figure 5, Panel A). Mexico's Association of Mexican Banks took pioneering steps as early as 2007 with the publication of its Sustainability Banking Protocol and the establishment of a sustainability committee. Brazil leads with a cumulative total of 49 actions, followed by Colombia with 36 and Mexico with 35. These increased efforts have been crucial in enhancing transparency and reliability in the region's markets.

Actions by government institutions have gained momentum since 2020, with all selected LAC countries having at least one initiative led by these stakeholders. However, several countries in LAC still have work ahead to strengthen their sustainable finance frameworks at the governmental level. Jamaica has implemented 67% of actions by government entities, leading the way, followed by Colombia with 52% of actions undertaken by national institutions, and Costa Rica closely behind with 48% (Figure 5, Panel B). Jamaica's government actions include the Bank of Jamaica distributing a climate risk awareness survey to all supervised entities to establish a baseline understanding of climate risk within the Jamaican financial system and reporting on climate risk assessments in a document titled *Climate-related Financial Risks in Jamaica*. Colombia's national initiatives include the 2022 publication of a green taxonomy developed through inter-ministerial collaboration, complemented by actions from the Financial Superintendence to integrate ESG factors into investment policies for pension and insurance sectors. In the case of Costa Rica, the government has enacted several policies such as the National Climate Change Adaptation Policy 2018-2030 and the National Council for Supervision of the Financial System's Environmental and Social Risk Technical Assistance Training Project in 2020.

Private sector actions, including those by industry associations, capital market entities, stock exchanges, insurance companies and consulting firms across LAC, have also made substantial progress in embedding sustainability into financial practices. Most countries have at least one initiative led by these types of stakeholders, with many of them being spearheaded by the country's commercial banking associations and stock exchanges. In the case of Mexico, 71% of the initiatives are led by private industry (Figure 5, Panel B). This includes Mexico's Banking Association introducing various tools to address ESG and climate risks, conducting its inaugural pilot exercise with a group of banks to identify green financing opportunities, and releasing its first assessment report on the implementation of its Sustainability Protocol. Similarly, in Paraguay, 57% of actions are driven by private industry. Among these initiatives are the establishment of the Sustainable Finance Roundtable of Paraguay and the launch of the third sector guide by Banco Continental, which includes the Environmental and Social Guide for Financing Agro-Industrial Activities in Paraguay.

Joint actions, involving collaboration between government entities, the private sector, and multilateral organisations, have also been instrumental in advancing sustainable finance frameworks at the regional level. Countries requiring greater capacity building and technical support have benefited significantly from international co-operation. For instance, the development of Costa Rica's national taxonomy in 2023 was supported by the United Nations Environment Programme (UNEP) and the Green Climate Fund. In Guatemala, the only but highly instrumental action was a joint effort that resulted in the publication of the Sustainable Finance Protocol of Guatemala. This publication was led by the Advisory Council on Sustainable Finance through the co-operation of 17 financial institutions and partner organisations, including CentraRSE, IDB Invest, and the Guatemala Banking Association. These collaborative efforts are pivotal in driving sustainable finance, including GSSS issuance, forward across LAC.

Figure 5. Sustainable finance framework development in LAC, 2007-23



Note: An action refers to any initiative by a government entity (e.g. ministries, central/development banks, and regulatory bodies), private sector entity (e.g. industry associations, capital market entities, stock exchanges, insurance companies and consulting firms), or collaborative effort aimed at developing a country's sustainable finance framework. The initiatives/actions considered aim to achieve one or more pillars as defined by the Sustainable Banking Finance Network (SBFN): Pillar 1) ESG integration, which involves managing ESG risks in the governance, operations, lending, and investment activities of financial institutions; Pillar 2) climate risk management, which entails implementing new governance, risk management, and disclosure practices to mitigate and adapt to climate change; and Pillar 3) financing sustainability, which refers to initiatives by regulators and financial institutions to unlock capital flows for activities supporting climate, green economy, and social goals. Each action is counted individually, even if performed by the same stakeholder. Actions are defined as any publication, collaboration, or initiative, including research and engagement, whether already underway or in development, aimed at developing a sustainable finance framework. Please note that the list of actions is not exhaustive and may undergo constant changes. Panel A: As defined by the SBFN, Eastern Caribbean States include Anguilla, Antigua and Barbuda, Dominica, Grenada, Montserrat, Saint Lucia, Saint Vincent and the Grenadines, and St. Kitts and Nevis. Panel B: Joint actions include initiatives led collaboratively between governmental institutions, regulators, industry associations, and/or international organisations.

Source: Authors' elaboration based on (SBFN, 2024^[11]) and official documents.

Analysing the development of common features within sustainable finance frameworks across LAC countries is a good way to identify areas for improvement. Of the 14 selected LAC countries, 12 have published an ESG national framework, setting expectations for integrating ESG risk management in financial sector operations (Table 2). However, many of these frameworks still need to be enhanced to encourage or require financial institutions to regularly review and monitor ESG risk exposure and publicly disclose this information (SBFN, 2024^[11]). In eight countries, stock exchanges have issued sustainable guidelines or protocols, such as the Guide for Green and Social Bonds in Ecuador and the Green Bond Guidelines in the Dominican Republic. Nine countries' bank associations have also issued sustainable protocols, like Mexico's Sustainability Protocol and Costa Rica's Green Protocol. In addition, 11 countries have issued sustainable guidelines or regulations for the non-bank sector, which includes pensions, capital markets, and asset management. The coverage of non-bank sectors in sustainable guidelines is crucial for boosting market competitiveness and investment opportunities across all financial institutions. In Chile

and Mexico, pension guidelines have taken the lead within the non-bank sector. For example, in Chile, the Pensions Superintendence issued General Rule No. 276 in 2020, establishing the obligation for Chilean Pension Fund Administrators to include in their annual reports how climate risks and ESG factors have been considered in the pension fund's investment decisions and risk analysis of the long-term sustainability of the securities and markets in which they invest. In Mexico, the National Commission for the Pension Savings System issued ESG requirements for pension investments, which became mandatory in 2022. In Brazil, guidelines for the non-bank sector have also been developed for capital market entities. In 2021, the Brazilian Association of Financial and Capital Market Entities issued rules for the denomination of sustainable funds.

Table 2. Key features of sustainable finance frameworks in selected LAC countries

	Published national sustainable/ green taxonomy	Published ESG national framework	Sustainable guideline/ protocol issued by the country's stock exchange	Sustainable guideline/ protocol issued by the country's bank association	Sustainable guideline/ regulation issued for non-bank financial institutions
Argentina	Yes	Yes	Yes	Yes	Yes
Brazil	No	Yes	Yes	Yes	Yes
Chile	Yes	Yes	Yes	No	Yes
Colombia	Yes	Yes	Yes	Yes	Yes
Costa Rica	No	Yes	Yes	Yes	Yes
Dominican Republic	Yes	Yes	Yes	Yes	Yes
Eastern Caribbean States	No	No	No	No	No
Ecuador	No	Yes	Yes	Yes	Yes
Guatemala	No	Yes	No	No	No
Honduras	No	Yes	No	No	Yes
Jamaica	No	No	No	No	No
Mexico	Yes	Yes	No	Yes	Yes
Paraguay	No	Yes	No	Yes	Yes
Peru	No	Yes	Yes	Yes	Yes

Source: Authors' elaboration based on (SBFN, 2024^[11]) and official documents.

When examining sustainable finance frameworks in LAC countries, green and sustainable taxonomies stand out. These initiatives have increasingly been adopted throughout the region since 2022 (Table 3). However, this remains one of the areas that requires further development and refinement by most countries in the region. As of May 2024, they had been published in Argentina, Chile, Colombia, the Dominican Republic, Mexico and Panama, and were under development in countries such as Brazil, Costa Rica and Peru (Table 3). These taxonomies establish technical assessment criteria and define green, social, sustainability, or sustainability-linked activities based on prioritised sectors and sustainable development goals. While taxonomies can inform the selection of KPIs and SPTs for SLBs, they are more central to GSS bonds, which rely on them to define eligible projects for the use of proceeds. Taxonomies enhance the credibility of these instruments and help counter green-/SDG-washing. In April 2022, the Colombian government published the region's first green taxonomy with a focus on land-use sectors. Since then, seven more countries have published or made significant progress in developing sustainable or green taxonomies, focusing on key sectors such as climate change mitigation and adaptation, the circular economy, biodiversity protection, land use, electricity, and water. Encouraging financial institutions to report to regulators or industry associations on the outcomes of GSSS loans, bonds, and other instruments remains crucial. Many taxonomies do not require these reporting practices or the public disclosure of the outcomes and impacts of these allocations (SBFN, 2024^[11]). Interoperability and harmonisation are also

essential as each taxonomy determines environmental priorities based on its unique context. This is essential for international investors seeking a transparent set of criteria to track the environmental impact of the projects in which they invest.

Table 3. Overview of taxonomy initiatives in selected LAC countries

Country	Stage of taxonomy development	Name	Date	Participants	Taxonomy priority
Argentina	Published 	Sustainable Finance Framework	May 2023	Government ministries through the Technical Committee on Sustainable Finance	Economic and social objectives within the context of the UN Sustainable Development Agenda.
Brazil	Under development: Roadmap published 	Sustainable Taxonomy	December 2023 To be released November 2024	Ministry of Finance, GIZ	Climate change adaptation and mitigation in sectors such as agriculture, extractive activities, electricity and gas, water supply and wastewater management and transportation.
Chile	Published 	Green taxonomy	August 2023	CBI, IDB, CAF, GIZ, Ministry of Finance	Climate change mitigation and adaptation, water and marine resources, circular economy, pollution, ecosystems, and biodiversity.
Costa Rica	Initial documents proposed 	Sustainable Finance Taxonomy	April 2023	The Green Climate Fund, UNEP, European Commission, government ministries, superintendencies, and the central bank	Create a framework to map, quantify, and disclose climate-related financial risks. These methodologies will be tested in the portfolios of banks and insurers to assess their exposure to these risks and define mitigation strategies.
Colombia	Published 	Green Taxonomy	April 2022	Government ministries	Land-use sectors (forestry, agriculture, and livestock).
Dominican Republic	Published 	Green Taxonomy	June 2024	IFC, government ministries	Energy, transport, construction, information and communication technologies (ICT), industry, water, and waste
Mexico	Published 	Sustainable Taxonomy	March 2023	GIZ, AFD, ECLAC, IFC, GGGI, UK Pact, Bank of Mexico, World Bank, Ministry of Finance	Climate change, gender equality and access to basic services in municipalities
Panama	Published 	Sustainable Finance Taxonomy	March 2024	Ministry of Environment, Superintendency of Banks and of Insurance, UNEP	Climate change mitigation and adaptation, water resources, land use, circular economy, pollution, and biodiversity.
Peru	Under development: Roadmap published 	Green Finance Taxonomy	June 2023	Ministry of Environment, GIZ	Climate change, biodiversity and ecosystem services, natural infrastructure, eco and bio-businesses, circular economy and clean production

Note: CBI = Climate Bonds Initiative, GGGI = Global Green Growth Institute, GIZ = German International Cooperation Agency (Deutsche Gesellschaft für Internationale Zusammenarbeit), AFD = Agence Française de Développement, and UNEP = United Nations Environment Programme.

Source: Authors' elaboration based on (OECD et al., 2022^[10]; Green Finance For Latin America and the Caribbean, 2023^[12]) (Presidencia Argentina, 2023^[13]) (Ministry of Economy of Argentina, 2023^[14]) (Ministry of Finance of Brazil, 2023^[15]) (Government of Mexico, 2023^[16]; Ministry of Finance of Chile, 2023^[17]) (UNEP FI, 2024^[18]) (Ministry of Finance of Peru, 2023^[19]) (UNEP, 2023^[20]).

The EU taxonomy exemplifies a harmonised regional framework that enhances market certainty and transparency while leveraging sustainable investment. Established in 2020, the taxonomy lays the groundwork for identifying environmentally sustainable activities with clear conditions and technical criteria (European Commission, 2020^[21]). Ensuring interoperability and clarity between LAC national taxonomies and the EU Taxonomy is crucial. Interoperability involves using similar guiding principles and core elements, such as objectives, sector classifications and science-based criteria with comparable metrics and thresholds (Climate Bonds Initiative/Ambire Global, 2023^[22]). Taxonomy comparative studies, like the EU-funded ones for Colombia and Mexico, can enhance transparency for EU and international investors and stakeholders. Such studies can foster market clarity, reduce transaction and research costs, and aid in cross-border capital mobilisation for sustainable investments.

The first Common Framework of Sustainable Finance Taxonomies in LAC marks the initial step towards establishing a harmonised framework akin to that of the EU. Launched in June 2023 by the United Nations (UN) system in LAC, the regional framework was developed by the Working Group on Taxonomies of Sustainable Finance in Latin America and the Caribbean and funded by the European Union through the EUROCLIMA Programme. The framework serves as a voluntary guidance tool for entities in the region engaged in or planning to develop taxonomies. It also offers direction for achieving interoperability of taxonomies within LAC and globally. Aligning the methodologies of various taxonomies will enhance investor confidence and minimise transaction costs. It also offers direction for achieving interoperability of taxonomies within LAC and globally. Aligning the methodologies of various taxonomies should enhance investor confidence and minimise transaction costs. One approach is to adopt similar methodological steps as countries like Colombia, which have implemented their models based on internationally recognised guidelines (Table 4) (OECD et al., 2023^[2]).

Table 4. A step-by-step guide to building a dynamic and comprehensive green taxonomy based on Colombia's model

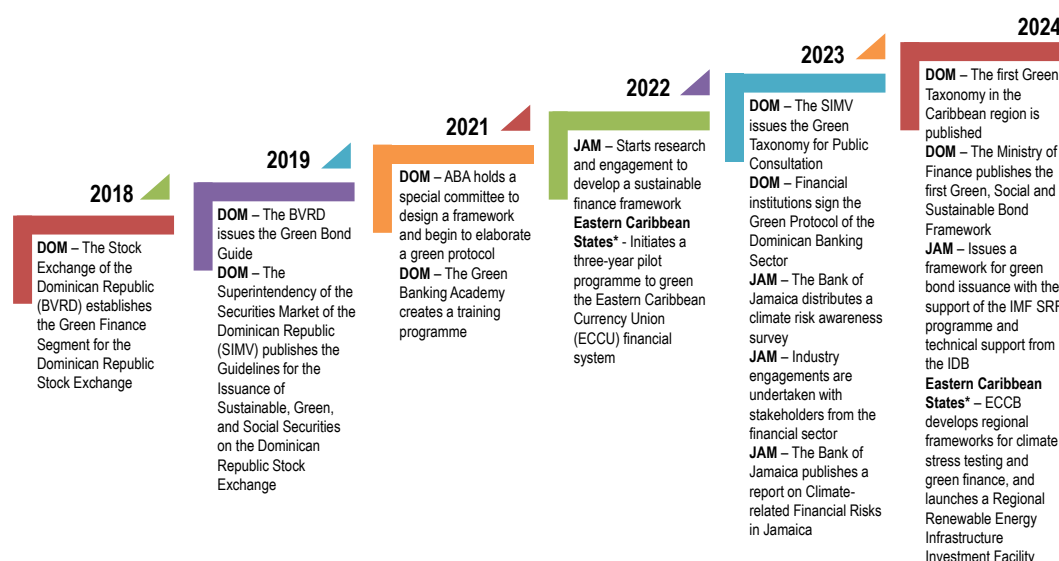
Step	Details
1. Define clear environmental objectives according to key economic sectors (the definition should be based on environmental priorities).	Possible environmental priorities include climate change mitigation and adaptation, natural resource conservation, biodiversity conservation, pollution prevention and control.
2. Develop a set of eligibility criteria and compliance requirements.	Establish a set of guidelines and requirements assessing whether the environmental performance of an asset or economic activity meets the expected environmental objective.
3. Assess the taxonomy's alignment with the regulatory and policy framework.	- Ensure that periodic reviews of the taxonomy are conducted to evaluate whether the system aligns with national and local policy frameworks, as well as with national and local plans and policies. - Develop a governance proposal detailing how the taxonomy will be strengthened and updated over time. The proposal should focus on ways to make the taxonomy dynamic (e.g. how to expand and/or update assets, economic activities, eligibility criteria and compliance requirements).
4. Harmonise the national taxonomy with taxonomies at the regional and international level.	Incorporate best practices from international and regional environmental sustainability systems into the taxonomy (e.g. the European Union's Taxonomy of Sustainable Finance, the Climate Bonds Initiative - CBI, the Green Bond Principles and the SDGs).
5. Consider the interrelationships between environmental, economic and social goals.	- Take into account the external effects of economic assets and activities on environmental goals. - Avoid including assets and activities that have a negative impact on other goals.
6. Identify the potential users of the taxonomy and how it will be used by them.	- Users (e.g. companies, investors, financial institutions, public and private entities, financial consumers). - Uses (e.g. assess economic activities in terms of their contribution to environmental objectives; facilitate the differentiation of financial instruments, such as bonds, credit/leasing portfolios, securities derived from securitisation processes, differentiated investment lines, investment portfolios and stock market indices; and favour the standardisation of criteria and definitions for green finance).
7. Develop mechanisms to monitor and evaluate the use of the taxonomy by financial market participants.	The Financial Superintendency of Colombia, for example, issued different rules that reference the Green Taxonomy with the purpose of increasing the transparency of capital markets and minimising the risk of greenwashing in: (i) the issuance of green bonds, (ii) the denomination of voluntary pension fund portfolios, and (iii) the disclosure of social and environmental information.

Source: Authors' elaboration based on (Gobierno de Colombia, 2022^[23]).

While the Dominican Republic remains the only Caribbean country to have issued a green taxonomy, other nations in the region are advancing other features of their sustainable finance frameworks. Efforts focus on green protocols, surveys and climate risk guidelines involving diverse stakeholders. Since 2017, the Association of Commercial Banks of the Dominican Republic initiated its sustainable finance framework development by joining the Sustainable Banking and Finance Network (SBFN), followed by the Eastern Caribbean Central Bank (ECCB) in 2021 and the Bank of Jamaica in 2022 (Figure 6). SBFN leads global efforts in sustainable finance at the market level representing 93 member institutions across 71 countries with USD 68 trillion in assets (SBFN, 2024^[11]). The Dominican Republic has made significant progress by publishing its first Framework for Green, Social, and Sustainable Bonds through the Ministry of Finance.

Additionally, the country has introduced a Green Protocol for the banking sector and established green training programmes. Jamaica has published a report on climate-related financial risks and engaged in surveys to strengthen its sustainable finance framework. In 2022, Eastern Caribbean states, including Anguilla, Antigua and Barbuda, Dominica, Grenada, Montserrat, Saint Lucia, Saint Vincent and the Grenadines, and St. Kitts and Nevis, launched a three-year pilot program to green the Eastern Caribbean Currency Union financial system. Additionally, in 2024 the ECCB developed regional frameworks for climate stress testing and green finance, including a Regional Renewable Energy Infrastructure Investment Facility.

Figure 6. Sustainable finance framework development in the Caribbean, 2018-24



Note: *As defined by the SBFN, Eastern Caribbean States include Anguilla, Antigua and Barbuda, Dominica, Grenada, Montserrat, Saint Lucia, Saint Vincent and the Grenadines, and St. Kitts and Nevis. DOM = Dominican Republic; JAM = Jamaica.

Source: Authors' elaboration based on (SBFN, 2024^[11]).

LAC's GSSS bond market has made progress from self-labelling to becoming an externally reviewed market, yet still has a long way to go (EU-LAC Foundation, 2020^[24]; Núñez, Velloso and Silva, 2022^[4]). External reviews, i.e. pre-issuance reviews and/or post-issuance reviews, should be well established and enhanced (Table 5). From the issuer's perspective, for GSS bonds, an initial methodological framework should be developed to set clear and measurable objectives for external verification and monitoring. In the case of SLBs, KPIs and SPTs should be public, clear, and measurable from the outset, including indicators of improved performance. From the reviewer's perspective, pre-issuance reviews, such as second party opinions for GSS bonds, should assess the environmental and/or social aspects of the funded projects, their targeted benefits, and any material risks (ICMA, 2021^[25]). In the case of SLBs, second party opinions should evaluate the relevance of KPIs, the ambition of SPTs, and the credibility of benchmarks. All issuers should seek independent reviews on their progress against baselines and international targets. Reviewers should also confirm any changes in bond characteristics and disclose their expertise or acknowledge any limitations in financial assessments (ICMA, 2021^[25]). The benefit of developing and strengthening monitoring and verification mechanisms is twofold. First, greater transparency helps avoid green-/SDG-washing. For instance, greenwashing can occur when a GSSS bond is marketed as supporting sustainable projects without the bond's performance demonstrating any measurable qualitative or quantitative sustainability impacts. Second, reinforcement of verification and monitoring promotes the harmonisation of taxonomies and impact reporting practices (OECD et al., 2023^[2]). This should promote higher transparency to investors and therefore further demand for these assets.

Table 5. External reviews for GSSS bond issuance

	Mechanism
Pre-issuance reviews	Second-party opinion: An institution with environmental, social, or sustainability expertise that is independent of the issuer and provides an opinion about the framework.
	Verification: An issuer can obtain independent verification against a designated set of criteria.
	Certification: An issuer can have its GSSS framework certified against a recognised external GSSS standard or label.
	GSSS scoring/rating: An issuer can have its GSSS bond framework evaluated or assessed by third parties, such as specialised research providers of rating agencies, according to an established scoring/rating methodology (ICMA, 2021 ^[25]).
Post-issuance reviews	Second- or third-party assurance report: This provides assurance of the allocation of proceeds to eligible GSS projects.
	Impact reporting: This seeks to quantify numerically the environmental, social or sustainable impacts of a project/asset. With GSS bonds, the impact report can detail whether the proceeds are being used effectively to meet the GSS objectives set out at the start of the project. With SLBs, the report can measure performance against KPIs set at the time of issuance.

Source: Authors' elaboration based on (CBI, 2023^[26]).

To attract new investors and promote sustainable development, GSSS bonds in LAC should operate under robust regulatory frameworks. The latter is a necessary condition to continue developing innovative bond structures that enhance capital markets. Scaling up GSSS bonds through local currency issuance and blockchain technology can improve transparency and supervision. Strengthening sustainable financing frameworks, ensuring cross-country co-ordination, and establishing rigorous external reviews are essential to avoid green-/SDG-washing. Inclusive design processes for taxonomies and improving their interoperability with regional and global standards are crucial. Collaboration between ministries and public investment offices is necessary to develop viable projects for use-of-proceeds instruments or to establish meaningful KPIs and SPTs for SLBs. Enhanced data and metrics are necessary for accurately identifying and addressing context-specific sustainable projects (Box 2).

Box 2. What can policy makers do to support GSSS bond issuance in LAC?

- Under sound regulatory and supervisory frameworks, GSSS bonds in LAC can attract new investors and promote sustainable and inclusive development. However, they should not be considered instruments for enhancing fiscal space in the region.
- Develop further innovative GSSS bond structures, such as SLBs, which could attract a wider pool of international – private and public – investors. This approach can also diversify the investor pool by reaching key institutional investors that are typically harder to engage in the region.
- Continue advancing novel approaches to scale up GSSS bonds, such as issuing them in local currency or USD with currency linkage to local currencies, while leveraging digital and technological advancements to enable more effective supervision. These strategies can attract international investors, mitigate currency risk, and enhance market liquidity.
- Enhance sustainable financing frameworks for GSSS bonds and foster co-ordination and harmonisation across countries and types of issuers. It is crucial to consolidate reliable monitoring and verification systems to maintain market transparency and avoid green-/SDG-washing. Pre- and post-issuance external reviews should be established and enhanced.

- Foster inclusive design processes for green or sustainable taxonomies to ensure clear standards for all. Developing a common language among all financial stakeholders, including the non-bank sector and international peers, is essential. Key stakeholders should include private companies, financial institutions, the national stock exchange, financial market stakeholders (e.g. pension funds, mutual funds, other capital markets' investors, asset managers), and relevant public sector entities.
- Improve national taxonomy's interoperability with regional and global taxonomies and standards. Under the guidance of the regional Common Framework of Sustainable Finance Taxonomies released in June 2023 by the UN system, countries can work to harmonise and align their national framework with that of others in the LAC region.
- Further promote financial co-operation through key multilateral and regional bodies to prevent the fragmentation of the GSSS bond market in LAC. This will help harmonise bond standards, taxonomies and regulatory frameworks across countries while also building capacity in LAC countries that require support for issuance, certification, monitoring and framework development.
- Develop bankable, investment-ready projects through interinstitutional collaboration between ministries and public investment offices. Even as taxonomies are developed or investment appetite is consolidated, project feasibility planning is crucial to allocate resources efficiently.
- Advance the development of data and metrics to accurately identify green, social or sustainable projects and address context-specific needs. In the case of SLBs, enhancing data and metrics is crucial for measuring progress towards KPIs and SPTs.
- Continue enhancing and updating overarching institutional frameworks around sustainable finance strategies to keep regulations, metrics and a data repository updated. Sustainable finance operates within a dynamic and ever-evolving landscape.

Notes

¹ An action refers to any initiative by a government entity (e.g. ministries, central/development banks, and regulatory bodies), private sector entity (e.g. industry associations, capital market entities, stock exchanges, insurance companies and consulting firms), or collaborative effort aimed at developing a country's sustainable finance framework. The initiatives/actions considered aim to achieve one or more pillars as defined by the Sustainable Banking Finance Network (SBFN): Pillar 1) ESG integration, which involves managing ESG risks in the governance, operations, lending, and investment activities of financial institutions; Pillar 2) climate risk management, which entails implementing new governance, risk management, and disclosure practices to mitigate and adapt to climate change; and Pillar 3) financing sustainability, which refers to initiatives by regulators and financial institutions to unlock capital flows for activities supporting climate, green economy, and social goals. Each action is counted individually, even if performed by the same stakeholder. Actions are defined as any publication, collaboration, or initiative, including research and engagement, whether already underway or in development, aimed at developing a sustainable finance framework. Please note that the list of actions is not exhaustive and may undergo constant changes.

References

- CBI (2023), *External Review*, Climate Bonds Initiative, [26]
<https://www.climatebonds.net/market/second-opinion>.
- Climate Bonds Initiative/Ambire Global (2023), *Comparison Study Between the Colombian and EU Taxonomies*, Climate Bonds Initiative, [22]
https://www.climatebonds.net/files/reports/cbi_col_eu_taxonomy_01e.pdf.
- ECLAC (2024), *Capital flows to Latin America and the Caribbean: 2023 year-in-review and early 2024 developments*, ECLAC, Washington D.C., [8]
<https://repositorio.cepal.org/server/api/core/bitstreams/ce02481f-b84e-409d-8ccd-30ae1c14efb1/content>.
- ECLAC (2023), *Capital Flows to Latin America and the Caribbean: First 10 months of 2023*, ECLAC, Washington D.C., [5]
<https://www.cepal.org/en/publications/68745-capital-flows-latin-america-and-caribbean-first-10-months-2023#:~:text=Latin%20American%20and%20Caribbean%20bond,higher%20than%20the%20annual%20volume>.
- ECLAC (2022), *Capital Flows to Latin America and the Caribbean: 2021 year-in-review and first four months of 2022*, Economic Commission for Latin America and the Caribbean, Santiago, [1]
https://www.cepal.org/sites/default/files/news/files/22-00485_was_-_capital_flows_2021_year_in_review_web.pdf.
- EU-LAC Foundation (2020), *The Potential of the Green Bond Markets in Latin America and the Caribbean*, EU-LAC Foundation, Hamburg, [24]
<https://eulacfoundation.org/en/potential-green-bond-markets-latin-america-and-caribbean-0>.
- European Commission (2020), *EU taxonomy for sustainable activities*, European Commission, [21]
https://finance.ec.europa.eu/sustainable-finance/tools-and-standards/eu-taxonomy-sustainable-activities_en.
- Gobierno de Colombia (2022), *Taxonomía verde de Colombia*, <https://incp.org.co/wp-content/uploads/2022/04/Taxonomia-Verde-de-Colombia.pdf>. [23]
- Government of Mexico (2023), *Taxonomía Sostenible de México*, Secretariat of Finance and Public Credit, Mexico., [16]
[https://www.gob.mx/cms/uploads/attachment/file/809773/Taxonom a Sostenible de M xico .pdf](https://www.gob.mx/cms/uploads/attachment/file/809773/Taxonom%20a%20Sostenible%20de%20M%20xico.pdf).

- Green Finance For Latin America and the Caribbean (2023), *Avances hacia una taxonomía verde en Latinoamérica*, <https://greenfinancelac.org/es/recursos/articulos/avances-hacia-una-taxonomia-verde-en-latinoamerica/>. [12]
- ICMA (2021), *Guidelines for Green, Social, Sustainability and Sustainability-Linked Bonds External Reviews*, ICMA Group, Paris, <https://www.icmagroup.org/assets/documents/Sustainable-finance/Guidelines-for-GreenSocialSustainability-and-Sustainability-Linked-Bonds-External-Reviews-February-2021-170221.pdf>. [25]
- IDB Invest (2024), *A Few Very Good Reasons to Protect the Integrity of Gender Bonds*, <https://idbinvest.org/en/blog/gender/few-very-good-reasons-protect-integrity-gender-bonds#:~:text=Latin%20America%20and%20the%20Caribbean,projects%20that%20help%20accelerate%20parity>. [6]
- Ministry of Economy of Argentina (2023), *Argentina's Sustainable Finance Framework*, <https://www.argentina.gob.ar/sites/default/files/argentinas-sustainable-finance-framework-2023.pdf>. [14]
- Ministry of Finance of Brazil (2023), *Sustainable Taxonomy of Brazil*, <https://www.gov.br/fazenda/pt-br/orgaos/spe/taxonomia-sustentavel-brasileira/arquivos-taxonomia/sustainable-taxonomy-of-brazil-december-v2.pdf>. [15]
- Ministry of Finance of Chile (2023), *Estructura del Sistema de Clasificación o Taxonomía de Actividades Económicas Medioambientalmente Sostenibles para Chile*, <https://www.hacienda.cl/areas-de-trabajo/finanzas-internacionales/finanzas-verdes/taxonomia-para-actividades-economicas-medioambientales-sostenibles/documentos/estructura-del-sistema-de-clasificacion-o-taxonomia-de-actividades-economicas>. [17]
- Ministry of Finance of Peru (2023), *Hoja de Ruta de Finanzas Verdes para el Perú*, <https://www.scribd.com/document/654498117/DECRETO-SUPREMO-N%C2%BA-007-2023-MINAM>. [19]
- Núñez, G., H. Velloso and F. Silva (2022), *Corporate governance in Latin America and the Caribbean: Using ESG debt instruments to finance sustainable investment projects*, Economic Commission for Latin America and the Caribbean, Santiago, <https://repositorio.cepal.org/handle/11362/47778>. [4]
- OECD (2024), *Sustainability-linked bonds: how to make them work in developing countries and how donors can help*, OECD Publishing, Paris, [https://one.oecd.org/document/DCD\(2024\)4/en/pdf](https://one.oecd.org/document/DCD(2024)4/en/pdf). [7]
- OECD (2022), *Green, social, sustainability and sustainability-linked bonds in developing countries: How can donors support public sector issuances?*, OECD Publishing, Paris, <http://www.oecd.org/dac/green-social-sustainability-and-sustainability-linked-bonds.pdf>. [13]
- OECD et al. (2023), *Latin American Economic Outlook 2023: Investing in Sustainable Development*, OECD Publishing, Paris, <https://doi.org/10.1787/8c93ff6e-en>. [2]
- OECD et al. (2022), *Latin American Economic Outlook 2022: Towards a green and just transition*, OECD Publishing, Paris, <https://doi.org/10.1787/3d5554fc-en>. [10]

- Presidencia Argentina (2023), *Ministerio de Economía: Resolución 696/2023*, Ministerio de Economía, Argentina, [13]
<https://www.boletinoficial.gob.ar/detalleAviso/primera/287232/20230529>.
- Public Debt Office of the Ministry of Finance of Chile (2023), *Chile's Sustainability Linked Bond Framework: June 2023*, <https://www.hacienda.cl/english/work-areas/international-finance/public-debt-office/esg-bonds/sustainability-linked-bonds/chile-s-slb-framework-june-2023-version>. [9]
- SBFN (2024), *Country Profiles Database*, <https://data.sbfnetwork.org/country-profiles>. [11]
- UNEP (2023), *Costa Rica launches a project to strengthen its sustainable finance framework*, UNEP, <https://www.unep.org/news-and-stories/press-release/costa-rica-launches-project-strengthen-its-sustainable-finance>. [20]
- UNEP FI (2024), *Taxonomía de Finanzas Sostenibles de Panamá*, <https://www.unepfi.org/wordpress/wp-content/uploads/2024/03/Taxonomia-de-Finanzas-Sostenibles-de-Panama.pdf>. [18]